

Cost_Segregation_Tax_Worksheet

March 5, 2026

1 Cost Segregation Tax Worksheet

1.0.1 Depreciation Deduction Report — IRC §168 MACRS with 40% Bonus Depreciation

This notebook calculates a full cost segregation study for a residential rental property and produces a professionally formatted PDF report using **ReportLab**.

Sections: 1. Install & Import Dependencies 2. Property Inputs 3. Cost Segregation Calculations 4. Bonus Depreciation Schedule 5. Year-1 Deduction Summary 6. Benefit Analysis 7. Generate PDF Report

1.1 Section 1 — Install & Import Dependencies

```
reportlab ready
All imports successful
```

1.2 Section 2 - Property InputsBasis

```
Purchase Price : $ 220,000.00
Land Value     : $ 63,720.00
Improvements   : $ 10,000.00
Bonus Rate     : 40%
```

1.3 Section 3 — Cost Segregation Calculations

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=====
Building Basis (raw)           : $ 156,280.00
Depreciable Basis              : $ 166,280.00
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Residential (75%, 27.5yr).     : $ 124,710.00
Land Improvements (10%, 15yr): $ 16,628.00
Personal Property (15%, 5yr)  : $ 24,942.00
CHECK - Sum.                   : $ 166,280.00
=====
```

1.4 Section 4 — Bonus Depreciation Schedule (40%)

Bonus - Personal Property (40%): \$ 9,976.80
Bonus - Land Improvements (40%): \$ 6,651.20
TOTAL BONUS DEPRECIATION : \$ 16,628.00

Remaining Personal Prop basis : \$ 14,965.20
Remaining Land Impr basis : \$ 9,976.80

1.5 Section 5 — Year 1 Total Depreciation Deduction

YEAR 1 DEPRECIATION BREAKDOWN

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A. Residential SL (27.5yr)      : $ 4,534.91
B. Land Impr MACRS (post-bonus) : $ 665.12
C. Personal Prop MACRS (post-bon): $ 2,993.04
D. Bonus - Land Improvements    : $ 6,651.20
E. Bonus - Personal Property    : $ 9,976.80
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```

YEAR 1 TOTAL DEDUCTION : \$ 24,821.07

Traditional SL (no cost seg) : \$ 6,046.55
YEAR 1 ADVANTAGE : \$ 18,774.52
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1.6 Section 6 — Benefit Analysis

BENEFIT ANALYSIS (@ 35% tax rate, 5% NPV discount)

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Traditional SL tax savings (Yr 1) : $ 2,116.29
Cost Seg tax savings (Yr 1)       : $ 8,687.37
Extra Year-1 tax savings          : $ 6,571.08
NPV of tax deferral benefit       : $ 6,258.17
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```

1.7 Section 7 — Generate PDF Report

Runs ReportLab to produce the full formatted PDF worksheet.

Helpers defined

PDF saved to: Cost_Segregation_Tax_Worksheet.pdf

<IPython.core.display.HTML object>

1.7.1 Disclaimer

This worksheet is for **informational and tax planning purposes only**. It does not constitute legal or tax advice.

All figures are based on IRC §168 MACRS and the TCJA bonus depreciation phase-down schedule. Consult a licensed **CPA or tax attorney** before filing.

IRS References: IRC §168 | Rev. Proc. 87-56 | TCJA §13201 | Form 4562 Instructions

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